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NATURE OF PROCEEDINGS: Hearing on Demurrer - with Motion to Strike (CCP 430.10)

The Demurrer to the First Amended Complaint filed by Equity Residential is sustained without leave to amend as to the First, Second, Third, Fourth, Fifth, Sixth, Seventh, Eighth, and Tenth Causes of Action, and is overruled as to the Ninth Cause of Action. The Motion to Strike is granted in part and denied in part.

BACKGROUND

Plaintiff Gregory Wayne Walton, II (Plaintiff) filed this action against Equity Apartments, Equity Residential Management, LLC (Equity Residential), and Cleo Apartments (collectively, Defendants), alleging that Defendants unlawfully terminated his tenancy, coerced him into vacating, and reported inaccurate information about him to consumer credit reporting agencies.

The causes of action in the First Amended Complaint (FAC) are: (1) Violation of the Unruh Civil Rights Act – Arbitrary Discrimination; (2) Violation of the Unruh Civil Rights Act – Unequal Terms; (3) Violation of the Bane Act; (4) Wrongful Eviction / Violation of Just Cause Requirements; (5) Violation of the Consumer Credit Reporting Agencies Act; (6) Negligent Infliction of Emotional Distress; (7) Intentional Infliction of Emotional Distress; (8) Negligent Hiring, Training, and Supervision; (9) Unfair Business Practices; (10) Declaratory Relief; and (11) Punitive Damages.

Equity Residential filed a Demurrer with Motion to Strike.

Plaintiff filed an Opposition.

LEGAL STANDARD

When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-721.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "'A demurrer tests the pleading alone, and not the evidence or the facts alleged.' [Citation.]" (E-Fab, Inc. v. Accountants, Inc. Services (2007) 153 Cal.App.4th 1308, 1315.) As such, courts assume the truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) However, they do not accept as true deductions, contentions, or conclusions of law or fact. (Stonehouse Homes

LLC v. City of Sierra Madre (2008) 167 Cal.App.4th 531, 538.)

“The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: [¶] (a) [s]trike any irrelevant, false, or improper matter inserted in any pleading….” (Code Civ. Proc., § 436.) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 437, subd. (a).)

REQUEST FOR JUDICIAL NOTICE

Equity Residential requests judicial notice of the following records in its unlawful detainer action against Plaintiff, Equity Residential Management, LLC v. Walton, Los Angeles Superior Court Case No. 22STUD09344 (the Unlawful Detainer Action): a December 6, 2022, three-day notice to pay rent or quit, a December 28, 2022, complaint for unlawful detainer, a January 18, 2023, order authorizing service by posting and mailing, a February 15, 2023, default judgment, and a March 7, 2023, writ of possession.

The Court takes judicial notice of the records of the unlawful detainer action, Case No. 22STUD09344. (Evid. Code, § 452, subd. (d).) Judicial notice of a court record establishes the existence of the document and the legal effect of an order or judgment; it does not establish the truth of the facts recited in other documents in the file. (Ramsden v. Western Union

(1977) 71 Cal.App.3d 873, 879 [judicial notice reaches the truth of facts asserted in orders, findings of fact, and judgments, but not in other documents in the file]; Day v. Sharp (1975) 50 Cal.App.3d 904, 914.) The Court therefore does not treat the contents of the three-day notice or the allegations in the unlawful detainer complaint as established as true.

DEMURRER

I. Statute of Limitations

Equity Residential argues that the First through Eighth and Tenth Causes of Action are time-barred.

"""A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. [Citation.] In order for the bar … to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred. [Citation.]" [Citation.]' [Citation.]" (Committee for Green Foothills v. Santa Clara County Bd. of Supervisors (2010) 48 Cal.4th 32, 42.) The applicable period is fixed by the gravamen of the claim – the nature of the right sued upon, not the form of the action or the relief demanded. (Gutierrez v. Tostado (2025) 18 Cal.5th 222, 231.)

A. The Two-Year Claims

The gravamen of the First through Third and Sixth through Eighth Causes of Action is injury to Plaintiff's personal rights, which is governed by the two-year limitations period of Code of Civil Procedure section 335.1. (Gatto v. County of Sonoma (2002) 98 Cal.App.4th 744, 760 [Unruh and Bane Act]; Pugliese v. Superior Court (2007) 146 Cal.App.4th 1444, 1450 [intentional infliction of emotional distress].) The Fifth Cause of Action under the Consumer Credit Reporting Agencies Act (CCRAA) is likewise subject to a two-year limitation period, running from the time Plaintiff knew or should have known of the violation. (Civ. Code, § 1785.33.) Plaintiff does not dispute that a two-year limitations period governs these claims; he contends only that they remain timely under the continuing violation and discovery doctrines.

A cause of action accrues, and the limitations period begins to run, when the claim is complete with all of its elements – wrongdoing, harm, and causation. (Aryeh v. Canon Business Solutions, Inc. (2013) 55 Cal.4th 1185, 1191.) Plaintiff filed his original Complaint on February 11, 2026, so a claim subject to a two-year limitations period must have accrued on or after February 11, 2024. Plaintiff alleges that the notice was served and the threats made in February or March 2023 (FAC at p. 15, ¶¶ B.1-B.2, p. 16, ¶ 6), that he was forced to vacate on March 29, 2023 (FAC at p. 16, ¶ 8), and that he began monitoring Equity Residential's credit reporting in 2023 (FAC at p. 38, ¶ 5). Therefore, each of these claims accrued in 2023, more than two years before the original Complaint.

Plaintiff invokes the continuing violation doctrine. (Richards v. CH2M Hill, Inc. (2001) 26 Cal.4th 798.) The doctrine applies to a continuing course of unlawful conduct that could not reasonably have been perceived as actionable when it began; it does not apply to discrete, completed acts that the plaintiff knew were wrongful when they occurred. (Aryeh, supra, 55 Cal.4th at p. 1192.) The notice, the eviction, and the threats were discrete acts that Plaintiff knew of in 2023. The doctrine does not apply. Plaintiff separately argues that the credit reporting is a continuing violation because the adverse information remains on his reports, citing Gorman v. Wolpoff & Abramson (9th Cir. 2009) 584 F.3d 1147. (Opp. at pp. 3-4.) Gorman construes the federal Fair Credit Reporting Act, not the state Act Plaintiff sues under, and does not bind this Court. The furnishing of information was a discrete act of which Plaintiff was aware in 2023, and the continued presence of that information on his report is not a new violation for each day it remains.

Plaintiff also invokes the discovery rule. (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797.) A plaintiff relying on the discovery rule must plead facts showing the time and manner of discovery and the inability to have discovered the claim earlier despite reasonable diligence. (Id. at p. 808.) The First Amended Complaint alleges that Plaintiff knew of the eviction and the threats when they occurred in 2023, and that he began monitoring his credit in 2023. The discovery rule does not delay accrual of these claims.

Accordingly, the Court concludes that the two-year statute of limitations bars the First through Third and Fifth through Eighth Causes of Action.

B. The Wrongful Eviction Claim

The Fourth Cause of Action, for wrongful eviction and violation of the just cause requirements of Civil Code section 1946.2, is not governed by the two-year limitations period. Equity Residential argues that wrongful eviction carries a two-year limitations period running from service of the notice, citing Sylve v. Riley (1993) 15 Cal.App.4th 23, 26 (Sylve). Sylve does not control. The court there applied the limitations period for an action upon a statute for a penalty (former Code Civ. Proc., § 340, subd. (1)) because the local ordinance sued upon made penalty damages mandatory for wrongful termination. Section 1946.2 is different: it authorizes enhanced damages only where the owner has acted willfully, and then only in the court's discretion, so an action under it is not one "upon a statute for a penalty." (See Menefee v. Ostawari (1991) 228 Cal.App.3d 239, 243 [a statute is penal for limitations purposes only where the additional damages are mandatory].) The gravamen of the claim is a liability created by statute, which carries the three-year limitations period of Code of Civil Procedure section 338, subdivision (a). The claim accrued no earlier than the loss of possession on March 29, 2023 (FAC at p. 16, ¶ 8), within three years of the February 11, 2026, Complaint, and is therefore timely. Equity Residential's statute-of-limitations ground fails, and its remaining ground for demurrer to this claim is addressed below.

II. Wrongful Eviction

Equity Residential argues that the Fourth Cause of Action is foreclosed by the record of its unlawful detainer action, contending that the December 2022 three-day notice to pay rent or quit, the February 15, 2023, default judgment, and the March 7, 2023, writ of possession defeat Plaintiff's allegation that he was served a defective notice and evicted without just cause.

As noted above, while the Court takes judicial notice of the existence of court records and their legal effects, it does not assume the information contained within them is true.

Civil Code section 1946.2 has prohibited terminating a covered tenancy without just cause since the Tenant Protection Act of 2019. However, the private right of action imposing civil liability on an owner who recovers possession in material violation of the section (Civ. Code, § 1946.2, subd. (h)) was enacted by Senate Bill 567 (Stats. 2023, ch. 290, § 2) and became operative April 1, 2024. Senate Bill 567 repealed the prior version of the statute as of that date and added the present version, which added the damages remedy. Plaintiff alleges that he lost possession on March 29, 2023, roughly a year before the remedy existed. A statute is presumed to operate prospectively and does not reach conduct completed before its operative date, absent a clear expression of contrary legislative intent. (Civ. Code, § 3; Evangelatos v. Superior Court (1988) 44 Cal.3d 1188, 1207-1209.) Senate Bill 567 contains no such expression, and its repeal-and-add structure and stated April 1, 2024, operative date confirm that the new damages remedy applies only prospectively. Because no private damages action under section 1946.2 existed when Plaintiff was evicted, the statutory claim fails as a matter of law.

The demurrer to the Fourth Cause of Action is sustained without leave to amend. No amendment can create a statutory damages remedy that did not exist when the eviction occurred.

III. Unfair Competition

Law

Next, Equity Residential demurs to the Unfair Competition Law (UCL) claim because Plaintiff lacks standing and fails to plead an unlawful or unfair practice.

"Unfair competition under the UCL includes 'any unlawful, unfair or fraudulent business act or practice.' (Bus. & Prof. Code, § 17200.)" (Jackson v. Lara (2024) 100 Cal.App.5th 337, 346.) "An 'unlawful' business activity includes '"anything that can properly be called a business practice and that at the same time is forbidden by law." [Citation.]' (Barquis v. Merchants Collection Assn. (1972) 7 Cal.3d 94, 113, italics added.)" (Smith v. State Farm Mutual Automobile Ins. Co. (2001) 93 Cal.App.4th 700, 717-718.) "[S]ection 17200 'borrows' violations of other laws and treats them as 'unlawful' practices independently actionable under the unfair competition law. (State Farm [Fire & Casualty Co. v. Superior Court (1996) 45 Cal.App.4th 1093,] 1103.)" (Id. at p. 718.)

To establish standing under the UCL, a plaintiff must (1) establish a loss or deprivation of money sufficient to qualify as injury in fact, i.e., economic injury, and (2) show that the economic injury was the result of, i.e., caused by, the unfair business practice that is the gravamen of the claim. (Kwikset Corp. v. Superior Court (2011) 51 Cal.4th 310, 322.) “A plaintiff alleging unfair business practice under these statutes must state with reasonable particularity the facts supporting the statutory elements of the violation.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 619.)

A. Standing

Plaintiff alleges that Equity Residential furnished inaccurate and derogatory information to the consumer credit reporting agencies, that his credit score fell more than 100 points as a result, and that the damage to his credit cost him housing, credit, and employment opportunities. (FAC at p. 17, ¶¶ C.1-C.8; p. 28, ¶ 6.) These are allegations of lost money or property resulting from the challenged reporting practice, and they do not depend on the eviction's validity. Therefore, Plaintiff has standing to pursue the credit-reporting theory for his UCL claim.

B. CCRAA

While Plaintiff’s CCRAA claim is itself time-barred, that does not prevent it from serving as a predicate for a UCL claim. (See Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 178-179 [an action on any unfair-competition claim is subject to the four-year limitations period even if the predicate law on which the practice is claimed to rest carries a shorter limitations period].) Plaintiff also alleges that the information Equity Residential furnished, that he owed a debt he did not owe and had failed to pay rent, was inaccurate and was furnished with knowledge of its inaccuracy. The judicially noticed unlawful detainer judgment establishes Equity Residential's right to possession as a matter of legal effect, but does not establish the truth of every item Equity Residential furnished to the credit agencies, and does not negate the allegation that the reporting was knowingly inaccurate. Accordingly, the demurrer to the Ninth Cause of Action is overruled.

IV. Declaratory Relief

Equity Residential demurs to the Tenth Cause of Action because the underlying claims are time-barred and that Plaintiff fails to plead an actual controversy. The demurrer is sustained. Declaratory relief requires an actual, present controversy concerning the parties' respective legal rights. (Code Civ. Proc., § 1060.) The declarations Plaintiff seeks concern the propriety of his eviction and Equity Residential's related practices. To the extent they concern the eviction, those matters were resolved against him by the foreclosure of the Fourth Cause of Action and leave no controversy to declare. To the extent they concern the credit-reporting practices, they are duplicative of the surviving Ninth Cause of Action, which will resolve the same questions. Where a declaration would serve no useful purpose, the Court may decline to entertain it. (Code Civ. Proc., § 1061.) The Court exercises that discretion here. Accordingly, the demurrer to the Tenth Cause of Action is sustained without leave to amend.

V. Plaintiff's Procedural Objections

Plaintiff argues that filing a demurrer and a motion to strike together is improper. It is not; the two are routinely brought concurrently and are directed at different defects. Plaintiff also argues that Equity Residential's meet-and-confer was inadequate. A determination that a meet-and-confer was insufficient is not a ground to overrule or sustain a demurrer, or to grant or deny a motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a)(4), 435.5, subd. (a)(4).) Finally, Plaintiff requests sanctions under Code of Civil Procedure section 128.7. A request for such sanctions must be made by a separately filed motion served at least 21 days before filing to permit the safe-harbor period; a request made within an opposition is not properly before the Court. The request is denied.

MOTION TO STRIKE

Equity Residential separately moves to strike six categories of material from the FAC.

I. Non-Entity Defendants

Equity Residential moves to strike “Equity Apartments” and “Cleo Apartments” as named defendants from the caption and at page 14, lines 14-25.

“Cleo Apartments” is pleaded as the apartment building itself (FAC at p. 14, ¶ 4), which is not a person capable of being sued. The names of non-persons as defendants are properly stricken as matter not drawn in conformity with law. (Code Civ. Proc., § 436, subd. (b).) However, Plaintiff alleges that Equity Apartments is a business entity and a subsidiary of Equity Residential. (FAC at p. 14, ¶ 3.) Whether this is true or not is a question of fact not resolvable on demurrer. Accordingly, the motion to strike is granted as to the naming of Cleo Apartments as a defendant and denied as to the naming of Equity Apartments.

II. Defective Notice

Equity Residential moves to strike the allegations that it served Plaintiff a defective notice in place of a three-day notice to pay rent or quit, contending those allegations are false because they are contradicted by the unlawful detainer record. The Court takes judicial notice only of the existence of the records and the legal effect of the default judgment and writ; they do not establish the contents of the notice Plaintiff received, which are not subject to judicial notice for their truth. Accordingly, the motion to strike those allegations is denied.

III. Class Action

Equity Residential moves to strike the allegations concerning Munguia-Brown v. Equity Residential (Munguia-Brown), a class action that resulted in a settlement of claims that Equity Residential charged void late fees under Civil Code section 1671, subdivision (d). (Mot. at pp. 3-4.) Plaintiff argues that the Munguia-Brown findings are pattern evidence of Equity Residential's disregard for tenant rights, admissible to show reprehensibility and intent. (Johnson v. Ford Motor Co. (2005) 35 Cal.4th 1191; People v. Ewoldt (1994) 7 Cal.4th 380; Opp. at p. 8.) That litigation concerns the assessment of late fees and bears no meaningful similarity to the eviction, coercion, and credit-reporting conduct on which Plaintiff's claims rest. Pattern evidence must bear meaningful similarity and relevance to the operative claims. (Harris, supra, 52 Cal.3d at p. 1149.) The allegations are immaterial and are properly stricken. (Code Civ. Proc., §§ 431.10, subd. (b), 436.) The motion to strike is granted as to the Munguia-Brown allegations.

IV. Allegations Regarding Credit-Reporting Authorization

Equity Residential moves to strike the allegations that it was required to obtain Plaintiff's authorization before furnishing credit information. The CCRAA imposes an accuracy obligation, not a pre-furnishing authorization requirement. (Civ. Code, § 1785.25, subd. (a).) Allegations premised on a consent requirement the Legislature did not enact are not in conformity with law and are properly stricken. (Code Civ. Proc., § 436, subd. (b).) Therefore, the motion to strike is granted as to the lack of authorization allegations

V. Allegations Regarding Algorithmic Decision-Making

Equity Residential moves to strike the allegations that it used algorithms to screen tenants, set rent, and make eviction decisions. Plaintiff's causes of action concern the notice he personally received and Equity Residential's reporting of his default; they do not turn on tenant-screening, rent-setting, or algorithmic decision-making, and the pleading alleges no nexus between any algorithm and the conduct directed at Plaintiff. Plaintiff relies on Department of Fair Employment & Housing v. Superior Court (2021) 11 Cal.5th 376 for the admissibility of statistical and algorithmic evidence of systemic discrimination. (Opp. at p. 9:7-14.) That decision addresses what evidence may prove a systemic discrimination claim; it does not make these allegations material to the claims

Plaintiff pleads, which rest on the notice he received and the reporting of his default to credit agencies. The allegations are immaterial and conclusory and are properly stricken. (Code Civ. Proc., §§ 431.10, subd. (b), 436.)

VI. Punitive Damages

Equity Residential moves to strike the Eleventh Cause of Action for punitive damages and the corresponding prayer. (Mot. at pp. 5-6.) Punitive damages are a remedy, not a cause of action, and the Eleventh Cause of Action is not cognizable as a separate claim; it is stricken on that ground. The prayer for punitive damages is also stricken. The only cause of action to survive demurrer is the Ninth, under the Unfair Competition Law, and the remedies available under that law are limited to restitution and injunctive relief; damages, including punitive damages, are not recoverable. (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1148; Bus. & Prof. Code, § 17203.) With every cause of action that could have supported exemplary relief now dismissed, no claim remains to which a prayer for punitive damages could attach. Accordingly, the motion to strike is granted as to the request for punitive damages.

CONCLUSION

Equity Residential’s Demurrer to the First Amended Complaint is sustained without leave to amend as to the First, Second, Third, Fourth, Fifth, Sixth, Seventh, Eighth, and Tenth Causes of Action, and is overruled as to the Ninth Cause of Action. The Motion to Strike is the Motion to Strike is granted without leave to amend as to the naming of Cleo Apartments, the Munguia-Brown allegations, the credit-reporting-authorization allegations, the algorithmic-decision-making allegations, and the Eleventh Cause of Action and the prayer for punitive damages. It is denied as to the defective-notice allegations. Equity Residential shall file and serve an Answer within 20 days.